

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2020	Bank			Group Consolidated			
	30.06.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)	30.06.2020 UnAudited (Ksh'000)	30.06.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	30.06.2020 UnAudited (Ksh'000)
A. ASSETS							
1 Cash balances (both local and foreign)	477,874	558,941	657,564	582,475	477,874	558,941	582,475
2 Balances due from Central Bank of Kenya	2,155,275	2,287,778	2,203,914	2,128,345	2,155,275	2,287,778	2,128,345
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-
4 Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-
5 Investment Securities:							
a) Held to Maturity:	515,641	427,125	565,986	764,561	515,641	427,125	764,561
a. Kenya Government securities	515,641	427,125	565,986	764,561	515,641	427,125	764,561
b. Other securities	-	-	-	-	-	-	-
b) Available for sale:	3,732,578	4,175,744	4,467,417	4,057,543	3,732,578	4,175,744	4,057,543
a. Kenya Government securities	3,732,578	4,175,744	4,467,417	4,057,543	3,732,578	4,175,744	4,057,543
b. Other securities	-	-	-	-	-	-	-
6 Deposits and balances due from local banking institutions	326,980	870,481	837,016	1,098,838	326,980	870,481	1,098,838
7 Deposits and balances due from banking institutions abroad	170,437	69,046	147,779	252,468	170,437	69,046	252,468
8 Tax recoverable	187,554	62,768	56,136	179,103	213,932	151,220	280,731
9 Loans and advances to customers (net)	41,852,265	39,934,816	39,574,392	39,339,787	40,543,382	38,551,968	38,172,648
10 Balances due from banking institutions in the group	-	-	-	-	-	227,770	-
11 Investments in associates	-	-	-	-	-	-	-
12 Investments in subsidiary companies	-	-	-	-	-	-	-
13 Investment in Joint ventures	236,627	242,379	242,379	242,379	2,589,226	1,731,214	1,730,576
14 Investment properties	118,003	538,064	540,472	567,700	844,135	1,256,768	1,278,871
15 Property and equipment	1,295,420	1,842,363	1,805,955	1,746,602	1,309,243	1,853,530	1,170,541
16 Prepaid operating lease rentals	-	-	-	-	-	-	-
17 Intangible assets	923,550	862,437	828,345	784,558	923,633	863,505	785,511
18 Deferred tax asset	813,128	1,012,883	1,026,089	1,019,929	944,585	1,216,715	1,223,880
19 Retirement benefit asset	-	-	-	-	-	-	-
20 Other assets	1,217,160	1,647,064	2,015,893	2,122,441	2,248,737	2,213,113	2,953,797
21 TOTAL ASSETS	54,022,492	54,531,890	54,969,337	54,886,729	56,995,658	56,454,918	56,480,785
B. LIABILITIES							
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-
23 Customer deposits	33,956,889	37,476,110	38,123,482	38,852,415	33,831,076	37,399,987	39,174,242
24 Deposits and balances due to local banking institutions	69,262	528,250	673,920	405,677	69,262	528,250	-
25 Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-
26 Other money market deposits	-	-	-	-	-	-	-
27 Borrowed funds	10,258,130	5,803,723	5,807,116	5,327,724	10,635,864	5,803,723	5,327,724
28 Balances due to banking institutions in the group	-	-	-	-	-	-	-
29 Tax payable	-	-	-	-	-	-	-
30 Dividends payable	-	-	-	-	2,317	3,100	4,934
31 Deferred tax liability	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-	-
33 Other liabilities	550,356	1,571,403	1,227,186	1,399,546	2,085,693	2,477,638	2,048,315
34 TOTAL LIABILITIES	44,834,637	45,379,486	45,831,704	45,985,362	46,624,212	46,212,698	46,555,215
C. SHAREHOLDERS' FUNDS							
35 Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	5,000,000	1,923,071	1,923,071	1,923,071
36 Share premium/(discount)	3,513,662	3,513,662	3,513,662	3,513,662	4,343,512	4,343,512	4,343,512
37 Revaluation reserves	180,440	180,440	180,440	180,440	881,903	881,903	881,903
38 Retained earnings/Accumulated losses	(1,940,662)	(2,308,522)	(2,706,488)	(3,183,977)	769,538	307,903	(633,165)
39 Statutory loan loss reserves	2,311,390	2,668,069	3,082,076	3,313,624	2,311,390	2,668,069	3,313,624
40 Other Reserves	72,275	48,005	17,193	26,868	91,282	67,012	45,875
41 Proposed dividends	-	-	-	-	-	-	-
42 Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS	9,187,855	9,152,404	9,137,633	8,901,367	10,371,446	10,242,220	9,925,570
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	54,022,492	54,531,890	54,969,337	54,886,729	56,995,658	56,454,918	56,480,785

II STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2020	Bank			Group Consolidated			
	30.06.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)	30.06.2020 UnAudited (Ksh'000)	30.06.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	30.06.2020 UnAudited (Ksh'000)
1 INTEREST INCOME							
1.1 Loans and advances	2,490,651	4,678,689	1,118,546	2,080,427	2,490,651	4,678,689	2,080,427
1.2 Government securities	195,706	419,374	113,650	247,256	195,706	419,374	247,256
1.3 Deposits and placements with banking institutions	10,387	18,517	12,644	25,399	10,387	18,517	25,399
1.4 Other Interest Income	-	-	-	-	-	-	-
1.5 Total interest income	2,696,744	5,116,580	1,244,840	2,353,082	2,696,744	5,116,580	2,353,082
2 INTEREST EXPENSES							
2.1 Customer deposits	886,437	1,787,622	488,013	967,481	886,437	1,787,622	967,481
2.2 Deposits and placement from banking institutions	42,825	99,171	28,145	66,379	42,825	99,171	66,379
2.3 Other interest expenses	537,449	976,819	111,555	259,615	740,278	1,262,076	331,918
2.4 Total interest expenses	1,466,711	2,863,612	627,713	1,293,475	1,669,540	3,148,869	1,365,778
3 NET INTEREST INCOME/(LOSS)	1,230,033	2,252,968	617,127	1,059,607	1,027,203	1,967,711	987,304
4 OTHER OPERATING INCOME							
4.1 Fees and commissions on loans and advances	26,950	183,640	24,442	38,285	26,950	183,640	38,285
4.2 Other fees and commissions	159,974	163,631	51,769	60,967	159,974	226,856	60,967
4.3 Foreign exchange trading income/(Loss)	15,011	50,151	18,807	38,401	15,011	50,151	38,401
4.4 Dividend Income	-	-	-	-	-	-	-
4.5 Other income	42,204	119,164	23,961	61,500	712,244	942,555	147,965
4.6 Total Non-interest income	244,139	516,586	118,979	199,153	914,179	1,403,202	285,618
5 TOTAL OPERATING INCOME	1,474,172	2,769,554	736,106	1,258,760	1,941,382	3,370,913	1,272,922
6 OPERATING EXPENSES							
6.1 Loan loss provision	369,437	351,194	137,642	267,927	369,456	350,441	267,561
6.2 Staff costs	409,065	924,350	219,158	475,965	498,545	1,078,236	462,901
6.3 Directors' emoluments	3,938	7,806	2,883	4,791	6,947	12,174	6,741
6.4 Rental charges	79,032	135,680	31,920	77,990	79,032	135,680	77,990
6.5 Depreciation charge on property and equipment	77,177	159,659	42,735	85,012	85,374	174,869	101,316
6.6 Amortisation charges	103,346	211,689	54,334	109,846	103,389	211,918	110,008
6.7 Other operating expenses	506,525	1,002,661	224,518	467,130	892,953	1,547,525	539,572
6.8 Total Other Operating Expenses	1,548,520	2,793,039	713,190	1,488,661	2,035,696	3,510,843	1,566,089
7 Profit/(loss) before tax and exceptional items	(74,348)	(23,485)	22,916	(229,901)	(94,314)	(139,930)	(293,167)
8 Exceptional items	-	5,752	-	-	-	2,128	(637)
9 Profit/(loss) after exceptional items	(74,348)	(17,733)	22,916	(229,901)	(94,314)	(137,802)	(293,804)
10 Current tax	-	(125,897)	(6,875)	-	(2,717)	(186,325)	(1,708)
11 Deferred tax	-	149,978	-	-	-	214,019	-
12 Profit/(loss) after tax and exceptional items	(74,348)	6,348	16,041	(229,901)	(97,031)	(110,108)	(295,512)
13 Other Comprehensive Income							
Gains/(Losses) from translating the financial statements of							
foreign operations	-	-	-	-	-	-	-
Fair value changes in available for sale financial assets	138,919	104,247	(44,017)	(28,183)	138,919	104,247	(28,183)
Revaluation surplus on Property, plant and equipment	-	-	-	-	-	-	-
Share of other comprehensive income of associates	-	-	-	-	-	-	-
Income tax relating to components of other comprehensive							
income	(41,676)	(31,274)	13,205	7,046	(41,676)	(31,274)	7,046
14 Other Comprehensive Income for the year net of tax	97,243	72,973	(30,812)	(21,137)	97,243	72,973	(21,137)
15 Total comprehensive income for the year	22,895	79,321	(14,771)	(251,038)	212	(37,135)	(316,649)
Earnings per share	(29.74)	1.27	12.83	(91.96)	(0.50)	(0.29)	(1.54)
Dividend per share	-	-	-	-	-	-	-

III DISCLOSURES AS AT 30 JUNE 2020	Bank			Group Consolidated			
	30.06.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)	30.06.2020 UnAudited (Ksh'000)	30.06.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	30.06.2020 UnAudited (Ksh'000)
1 Non-Performing Loans and Advances							
a) Gross non-performing loans and advances	12,974,200	12,316,003	12,221,552	11,909,011	12,974,200	12,316,003	11,909,011
b) Less: Interest in Suspense	2,845,300	3,231,455	3,433,379	3,501,430	2,845,300	3,231,455	3,501,430
c) Total non-Performing loans and advances (a-b)	10,128,900	9,084,548	8,788,173	8,407,581	10,128,900	9,084,548	8,407,581
d) Less: Loan loss provisions	2,542,118	2,655,962	2,942,626	2,960,816	2,542,118	2,655,962	2,960,816
e) Net non-performing loans and advances(c-d)	7,586,782	6,428,586	5,845,547	5,446,765	7,586,782	6,428,586	5,446,765
f) Discounted value of securities	7,586,782	6,428,586	5,845,547	5,446,765	7,586,782	6,428,586	5,446,765
g) Net Exposure(e-f)	-	-	-	-	-	-	-
2 Insider loans and advances							
a) Directors, shareholders and associates	1,451,304	1,411,487	2,122,961	2,148,260	1,451,304	1,411,487	2,148,260
b) Employees	794,231	814,148	849,711	887,818	794,231	814,148	887,818
c) Total insider Loans and Advances	2,245,535	2,225,635	2,972,672	3,036,078	2,245,535	2,225,635	3,036,078
3 Off-Balance Sheet items							
a) Letters of credit, guarantees and acceptances	92,321	91,942	111,973	208,384	92,321	91,942	208,384
b) Forwards, swaps and options	964,450	1,237,700	1,333,600	852,400	964,450	1,237,700	852,400
c) Other contingent liabilities	-	-	-	-	-	-	-
d) Total contingent liabilities	1,056,771	1,329,642	1,445,573	1,060,784	1,056,771	1,329,642	1,060,784
4 Capital Strength							
a) Core capital	6,417,172	5,812,771	5,353,783	4,842,724	6,899,812	6,015,220	4,972,128
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess/Deficiency	5,417,172	4,812,771	4,353,783	3,842,724	5,899,812	5,015,220	3,972,128
d) Supplementary capital	593,343	558,493	555,390	561,925	592,246	558,493	561,925
e) Total capital (a+d)	7,010,515	6,371,264	5,909,173	5,404,649	7,492,058	6,573,713	5,534,053
f) Total risk weighted assets	45,517,330	44,679,426	44,431,678	44,953,621	47,521,522	45,152,556	45,059,479
g) Core capital/Total deposit liabilities	18.86%	15.30%	13.80%	12.34%	20.35%	15.86%	12.69%
h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
i) Excess/Deficiency	10.86%	7.30%	5.80%	4.34%	12.35%	7.86%	4.69%
j) Core capital/Total risk weighted assets	14.10%	13.01%	12.05%	10.77%	14.52%	13.33%	11.03%
k) Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%
l) Excess/Deficiency (j-k)	3.60%	2.51%	1.55%	0.27%	4.02%	2.83%	0.53%
m) Total capital/Total risk weighted assets	15.40%	14.26%	13.30%	12.02%	15.77%	14.57%	12.28%
n) Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%
o) Excess/Deficiency (m-n)	0.90%	-0.24%	-1.20%	-2.48%	1.27%	0.06%	-2.22%
p) Adjusted Core Capital/Total Deposit Liabilities*	19.08%	15.50%	13.90%	12.50%			
q) Adjusted Core Capital/Total Risk Weighted Assets*	14.27%	13.20%	12.20%	10.92%			
r) Adjusted Total Capital/Total Risk Weighted Assets*	15.57%	14.50%	13.40%	12.17%			
5 Liquidity							
a) Liquidity Ratio	20.90%	20.80%	21.30%	21.98%	20.90%	20.80%	21.98%
b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
c) Excess(Deficiency) (a-b)	0.90%	0.80%	1.30%	1.98%	0.90%	0.80%	1.98%